



University of Oslo

University of Oslo Faculty of Law Legal Studies
Research Paper Series
No. 2016-11

Beate Sjøfjell

When the Solution Becomes the Problem: The Triple Failure of Corporate Governance Codes

Paper in the project Sustainable Market Actors for Responsible Trade
(SMART)

When the Solution Becomes the Problem

The Triple Failure of Corporate Governance Codes

Beate Sjøfjell¹

1 Introduction

Corporate governance codes are widely regarded as the ultimate sign of a modern and efficient market economy. Bypassing the comparatively slow machinery of legislation, corporate governance codes are now a common instrument for corporations and shareholders to signal their perceptions of best practice and steer the governance of corporations in the desired direction.² When a country's corporate legislation is amended, corporate governance codes tend to be altered too – to always be one step ahead. But in what direction are these steps taking us? And who is deciding the aims and means? Already in 2006, Steen Thomsen criticised corporate governance codes for lacking a 'theoretical or empirical rationale' to the extent that they are 'unlikely to do much good (and if so only by accident)'.³ Since then, corporate social responsibility language has made its way into ever more codes, without this necessarily resolving any of the increasingly cited issues with the codes.

This chapter discusses corporate governance codes from a critical perspective.⁴ Drawing on examples of corporate governance codes from selected jurisdictions from around the world,⁵ I put forward that corporate governance codes, generally speaking, are a triple failure. While recognising that there are positive exceptions, corporate governance codes are on a whole informed by and support the shareholder primacy drive, with its negative effects for society, for business and for all shareholders with anything but an extremely short-term perspective. The corporate governance codes facilitate and support a system that does not adequately address the environmental and social costs of business. Attempts at introducing corporate social responsibility language into such codes are generally superficial and not designed to achieve the internalisation of externalities that is urgently required if business and finance is to work towards becoming more sustainable, in the economic, environmental and social sense.

In this chapter I argue that simply moving from so-called 'soft' law to 'hard' law will not rectify the problems discussed. Radical reform of business and financial law is urgently needed –

¹ Professor Dr. Juris, Head of the Research Group on Companies, Markets and Sustainability (jus.uio.no/companies) and Project Coordinator of Sustainable Market Actors for Responsible Trade (SMART) (smart.uio.no), which is based at the University of Oslo. SMART has received funding from the European Union's Horizon 2020 Research and Innovation Programme under Grant Agreement No 693642, and I gratefully acknowledge its support. This paper was presented at the conference 'Reflections on Voluntary Corporate Governance Codes: Is it now time to move on from a 'soft law' approach to a 'hard law' approach?', Hong Kong, 25-26 April 2016. I am grateful to Jean Jacques du Plessis for inviting me to the conference and for his and the other participants' inspiring remarks, to Paige Morrow and Jukka Mähönen for insightful feedback to the text, and to research assistants Jon Anders Lunde, Kaja Harms and Vegard Gjertsen, for invaluable assistance in various phases of the work with this paper. All opinions are my own and the usual disclaimers apply. A final version of this text is published as a chapter in Jean Jacques Du Plessis and C.K. Low (eds), *Corporate Governance Codes for the 21st Century: International Perspectives and Critical Analyses* (Springer Verlag, 2017).

² See for example 'One of the most important governance phenomena of the past 20 years has been the introduction of market controlled corporate governance codes designed to guide companies towards best practice...', Kershaw (2015); Haxhi and Aguilera (2012), pp 238–39.

³ Thomsen (2006), pp 845–61, he then explains how Nordic countries have adopted corporate governance codes under investor pressure, pp 849–51.

⁴ Any corporate governance code is a part of a legal, social and cultural context. This chapter does not attempt to analyse each code in full in this sense. With this caveat the chapter rather investigates codes as they present themselves. What are they informed by? Which interests do they promote?

⁵ An overview of corporate governance codes from all over the world is found at http://ecgi.org/codes/all_codes.php. All codes referred to or quoted in this chapter may be found there, unless otherwise stated.

reform that encompasses a truly modern and systemic understanding of the role of business and finance and its regulatory ecology in achieving a safe and just operating space for humanity.

In section two, I introduce the context for my critical analysis including the significance of business and finance in meeting the convergence of crises we are facing globally, and the compelling body of emerging research on the key barriers to corporate sustainability. In section three I elaborate on what I mean by the triple failure of corporate governance codes: three interlinked aspects of the way corporate governance codes are informed by and promote the destructive shareholder primacy drive, how this leads to an externalisation especially of social and environmental costs, and how the current tendency to rectify the latter are characterised by superficial attempts at including broader societal interests, which are insufficient in their incremental approach to mitigate the deeply entrenched nature of the shareholder primacy drive. In section four, I question whether moving from ‘soft’ to ‘hard’ law in itself presents an answer,⁶ and present a summary of tentative ideas on the kind of fundamental legal reform that is necessary.

2 Context for Critical Analysis

2.1 A Convergence of Crises

According to even the most conservative estimates of the Intergovernmental Panel on Climate Change (IPCC), business as usual will most probably lead to climate change of a magnitude to which we cannot adapt, or to which we can only adapt at extremely high costs.⁷ And our window of opportunity for preventive or restorative action is quickly closing.⁸ Contrary to popular phraseology, we are not talking about saving the *planet*. The planet will take care of itself. The issue is whether we should preserve the very basis of our human existence, of our societies as we know them today. The environmental and accordingly, the social and economic consequences of business as usual are frightening.⁹ As put by the conservative newspaper *The Economist* already in 2006, about ‘trying to avert the risk of boiling the planet’: the ‘costs are not huge. The dangers are’.¹⁰ The Stern Review characterised climate change already in 2006 as ‘the greatest and widest-ranging market failure ever seen’, pointing out that it poses ‘a unique challenge for economics’ – and, we could add, for law.¹¹ Climate change is not the only crisis we face. There is a convergence of crises: the financial stability underpinning our societies is at stake; the loss of biodiversity threatens the stability of our ecosystems, and the progress that has been achieved in reaching some of the Millennium Development Goals are bound to be undermined by the degradation of our natural environment including that which is the highly likely result of run-away climate change.¹² The achievement of the UN Sustainable Development Goals,¹³ which may be said to epitomise the overarching goals of the global society, is unlikely.

⁶ This question was posed by the topic of the conference where this chapter was first presented, n 1 above. For a discussion of hard law, soft law and hybrids in an Australian context, see du Plessis (2015), Ch 5.

⁷ Current GHG emissions from industrialisation and deforestation are likely to result in breaching the safe warming threshold of two degrees Celsius, and thus the danger of run-away climate change looms, Field (2014), p 11 et seq, reiterates its message from its 2007 assessment, namely that we must urgently begin massively reducing emissions if humankind is to avoid dangerous anthropogenic global warming, Edenhofer (2014), p 88.

⁸ The IPCC reports that delaying mitigation efforts beyond those in place today through 2030 is estimated to substantially increase the difficulty of the transition to low longer term emissions levels; Edenhofer, *ibid*.

⁹ As stated already in 2007: ‘The resilience of many ecosystems is likely to be exceeded this century by an unprecedented combination of climate change associated disturbances (e.g. flooding, drought, wildfire, insects, ocean acidification), and other global change drivers (e.g., land use change, pollution, over-exploitation of resources)’ Parry (2007), pp 7–22.

¹⁰ ‘Economics of climate change: Stern warning’ *The Economist* (Nov 2006), p 14.

¹¹ As Stern (2007) explained, economic analysis must therefore be global, deal with long time horizons, have the economics of risk and uncertainty at centre stage, and examine the possibility of major, non-marginal change; Stern has become ever clearer in his statements, e.g.: ‘Failing to act on the grave threat posed by climate change devalues the lives of future generations and amounts to unacceptable “discrimination by date of birth”’, Stern (2015).

¹² UN Millennium Development Goals, see <http://www.un.org/millenniumgoals/>; about the threat of climate change, see for example Islam (2013) ‘Climate change threatens Bangladesh’s MDG achievements – experts’; Hallegatte et al (2016).

¹³ See more about the UN Sustainable Development Goals at un.org/sustainabledevelopment/sustainable-development-goals/.

In the aftermath of one financial crisis and in imminent danger of heading into another, the focus is primarily on stimulating growth and getting back on the track of business as usual. There was some talk of a ‘Global Green New Deal’, of turning the 2007–2008 financial crisis into an opportunity for necessary transformation to a green economy,¹⁴ and more recently on the European Union level, of a Circular Economy.¹⁵ However, generally speaking, when we look past the rhetoric to what is actually being done, we find that environmental concerns tend to be downplayed if not avoided, together with concerns for the underprivileged and marginalised of this world – jobs are lost, revenue is depleted, stock markets erratically oscillate and the economies of developed countries are far from stable. Getting back on track with economic growth and business as usual is a misguided postponement of the urgent need to deal with climate change and other pressing environmental concerns – a postponement that rapidly reduces our chances of ever achieving any kind of sustainable global society; financially, socially and environmentally.

While climate change is a highly topical issue in the aftermath of the Paris Agreement,¹⁶ it should be recognised that any of the looming crises that we face could set into action a chain of events that will lead to the breakdown of our societies as we know them. There may be a chance, if we have not already completely exceeded the ecological boundaries of our planet as an inhabitable place for humans, that those who survive such a breakdown can eventually rebuild societies. However, why would we take such a risk, considering the horrendous costs in form of human suffering, and the all-too-present danger of irreversible damage?

The bald truth cannot be over-emphasised; the very basis of our existence is at stake. The current situation is untenable, and we have a moral imperative for action. The overarching societal goal of sustainability needs to be put into effect.¹⁷ And we cannot achieve environmental, social and economic sustainability of our societies without prioritising a rethink and radical altering of our current business and finance practices. As opposed to the many difficult questions ahead, there is one thing we know for sure: ‘business as usual’ is a very certain path towards a very uncertain future. A fundamental transition away from ‘business as usual’ is a necessary contribution to achieving a safe and just operating space for humanity.¹⁸

2.2 *The Role of Business and Finance*

Business is the backbone of our economies and the dominant business form is the company or the corporation.¹⁹ The company is one of the most ingenious inventions of humanity.²⁰ It is an all-important vehicle for allocating and efficiently employing capital in our societies, providing goods, services, jobs – and revenue. It is therefore essential that we discuss how the company is governed.

¹⁴ See the press release concerning the response to the Global Financial Crisis of 2007–2008: ‘Mobilizing and re-focusing the global economy towards investments in clean technologies and ‘natural’ infrastructure such as forests and soils is the best bet for real growth, combating climate change and triggering an employment boom in the 21st century.’

¹⁵ Towards a Circular Economy: see ec.europa.eu/priorities/jobs-growth-and-investment/towards-circular-economy_en.

¹⁶ At COP 21 in Paris, the international community reached a new agreement aimed at combating climate change and to accelerate and intensify the actions and investments needed for a sustainable low carbon future, see http://unfccc.int/paris_agreement/items/9485.php. The Paris Agreement has been referred to – despite the lack of legally binding commitments – as a turning point because of its ambitious nature, while scientists warn that ‘the real work has just begun’, see, for example IIASA (Dec 2015).

¹⁷ In the era of the Anthropocene, sustainable development can be defined as ‘development that meets the needs of the present while safeguarding Earth’s life-support system, on which the welfare of current and future generations depends’, Griggs D et al (2013).

¹⁸ Rockström et al (2009), confirmed and updated in Steffen et al (2012); See also Raworth K (2012).

¹⁹ The term ‘company’ or (in the US, and increasingly other parts of the world: the ‘corporation’) encompasses both the private limited liability company (e.g.: *aksjeselskap* in Norway, *GmbH* in Germany) and the public limited liability company (e.g: *allmennaksjeselskap* in Norway, *AG* in Germany). However, this chapter concentrates on the public limited liability company.

²⁰ Whereas the enforceable contract may be the most innovative contribution of Roman law, see Watson (1984), pp 1–20, company law has made a similar contribution to the contemporary economy, see Rajan and Zingales (2003).

The legal form of the company encompasses a wide spectrum of variations, from the smallest entities, where the single shareholder and the only employee is the same person, to the vast entities involved in multinational conglomerates. A company may be unlisted or have some or all of its shares listed on a regulated market, typically a stock exchange. This chapter concentrates on listed companies given corporate governance codes are directly relevant to them. As discussed throughout this book, corporate governance codes are an attempt to influence the governance of listed companies, inspired by perceived corporate governance issues.²¹ In light of the convergence of crises that we face and the importance of ensuring a sufficiently positive contribution of business, a critical analysis of the corporate governance codes must go beyond assessing, as is often the case, the ‘effectiveness’ of codes.²² Much of the corporate governance debate has concentrated on this, often understood as how shareholder interests may be promoted and how the board and by extension the management can be incentivised to focus on and prioritise more clearly the returns to shareholders.²³ That focus is based on Anglo-American law-and-economics inspired postulates on the relationship between maximising returns for shareholders, improved corporate governance and contributing to societal welfare.²⁴ In a critical perspective, these assumptions require scrutiny.²⁵ A broader and more fundamental discussion of the issues involved is necessary, as evidenced by our lack of progress at an overarching level. In spite of a wealth of initiatives, from business, NGOs and policy-makers, we are still on the destructive path of ‘business as usual’.

Discussions of the relationship between companies and broader societal interests are often undertaken under the umbrella of corporate social responsibility (CSR). We have seen a paradigm shift in the European Union (EU), with the EU Commission moving from defining CSR as concept ‘whereby companies integrate social and environmental concerns in their business operations and in their interaction with their stakeholders *on a voluntary basis*’ in 2001²⁶ to redefining CSR in 2011 as the ‘*the responsibility of enterprises for their impacts on society*’ and requiring an integration of ‘social, environmental, ethical, human rights and consumer concerns into their business operations and core strategy’.²⁷ However, since 2011 this approach has achieved only very tentative and incremental progress (including the recently introduced EU requirements to disclose non-financial information, to which I will return) – and the EU has not yet adopted a new CSR strategy in spite of the last one now being out of date.²⁸

Ethical guidelines published in recent years have significantly influenced and been influenced by the corporate sustainability discourse. Examples include the OECD Guidelines for Multinational Enterprises with their unprecedented system of national contact points, and the UN Guiding Principles on Business and Human Rights, which are sought implemented into national action plans.²⁹ Together with the Global Compact and other guidelines and principles such as the Global Reporting Initiative and the Integrated Reporting Initiative,³⁰ they have informed the debate on CSR and accountability, and made some inroads into reporting rules in accounting law as well as into corporate governance codes.³¹

²¹ See for example Zattoni and Cuomo (2008); Hopt (2011); although see Gerner-Beuerle (2014) for a more nuanced assessment of the internationalisation of corporate governance codes.

²² See for example, RiskMetrics Group (2009); Belcredi and Ferrarini (2013), pp 67–142. See also Chen and Nowland (2011), pp 229–250.

²³ Sjøfjell B et al (2015), pp 79–147.

²⁴ See for example, Hamilton (2000), which explains the background to the US corporate governance debate from an historical perspective.

²⁵ Sjøfjell B et al (2015), n 23.

²⁶ COM (2001) 366 final (emphasis added). Although the Communication went on to speak of ‘not only fulfilling legal expectation, but also going beyond compliance and investing “more” into human capital, the environment and the relations with stakeholders’ (paras 20–21), the definition of CSR as voluntary has been dominant.

²⁷ COM (2011) 681 final, Sect. 3.1 (emphasis added).

²⁸ The marginalisation of CSR in the renamed DG GROW, the European Commission’s Directorate General for Internal Market, Industry, Entrepreneurship and SMEs, is also discouraging, with only two officers dedicated to CSR, see http://ec.europa.eu/growth/index_en.

²⁹ See OECD guidelines, and UN Guiding Principles.

³⁰ On Integrated Reporting, see <http://integratedreporting.org/>.

³¹ See Section 3.

However, more debate is needed on how to achieve the necessary fundamental transition from ‘business as usual’. This requires a broader and more ambitious goal than the generic and vague one of ‘improving corporate governance’. This chapter therefore discusses whether corporate governance codes contribute to or work against corporate sustainability. Corporate sustainability is here defined as when businesses (or more broadly, economic actors) in aggregate create value in a manner that is (a) *environmentally* sustainable in the sense that it ensures the long-term stability and resilience of the ecosystems that support human life, (b) *socially* sustainable in the sense that it facilitates social development including the respect and promotion of human rights, and (c) *economically* sustainable in the sense that it satisfies the economic needs necessary for stable and resilient societies. With the aim of corporate sustainability this chapter intends to position the discourse more clearly within a fundamental recognition of non-negotiable ecological limits that should form the space within which all economic and social development is to take place: that which is embodied in the concept of planetary boundaries.³²

2.3 Shareholder Primacy as a Main Barrier

Multi-jurisdictional comparative research on company law barriers and possibilities for a greater integration of environmental concerns into company decision-making shows that the shareholder primacy drive is the main barrier to corporate sustainability. In the Sustainable Companies Project (2010–2014)³³ we investigated core company law, through an extensive, comparative analysis of the purpose of the company as a matter of law, and the role and duties of the board as well as that of the general meeting. Because of the board’s pivotal role according to company law in the strategy-setting and overarching monitoring of the management of the company,³⁴ we focused on the concept of the interests of the company to determine the scope of the board’s duty and discretion in its supervision and management of the company.³⁵ The regulation, or lack thereof, of corporate groups also formed part of our investigation. Further, we investigated accounting and auditing law, using a similar comparative approach, allowing us to delve deeply into an area of law where broader societal interests, through so-called non-financial or CSR reporting, has made inroads. While the focus of the Sustainable Companies Project was on environmental externalities, the results are to a great extent transferable to social externalities. Indeed, the reform proposal based on our work, summarised briefly in section four, takes that broader view.

In core company law, the possibilities for a shift away from business as usual and onto a sustainable path are more extensive than one might perhaps expect. While the mainstream corporate governance debate tends to regard the maximisation of shareholder profit as the sole purpose of companies, this is, as a matter of law, to a great extent incorrect, especially understood as society’s purpose with companies in aggregate.³⁶ While company law in some jurisdictions adheres to shareholder value (the legal concept, which should be distinguished from the social norm of shareholder primacy), the underlying rationale for facilitating the corporate form through legislation is always that it is assumed beneficial for society through its contribution to economic development. No company law system insists on boards focusing only on returns for shareholders.³⁷ All jurisdictions expect boards to ensure legal compliance. We see examples of shareholder value jurisdictions like the UK expressly stipulating that broader societal concerns

³² See Rockström (2009) and Steffen et al (2012).

³³ For more about this project, see <http://jus.uio.no/companies>, under Projects, Concluded Projects.

³⁴ The board is used in this chapter as a general term encompassing the German *Aufsichtsrat*, the British board of directors and the board as constituted in the Nordic countries. Trying to fit quite different systems, exemplified by the German two-tier variant and the one-tier system of the UK, into one picture of a board level and a management level requires some simplifications, as the German *Aufsichtsrat* and the UK board of directors are two quite different entities, with the German *Vorstand* (‘management board’) having some similarities with the UK board that the *Aufsichtsrat* (‘supervisory board’) has not, and vice versa.

³⁵ For an analysis of the role and duties of the general meeting in the Sustainable Companies Project, see Sjøfjell et al (2015), pp 79–147.

³⁶ Ibid, n 23.

³⁷ In some jurisdictions environmental sustainability has begun tentatively making inroads into the explicit duties of the board; see for example Johnston (2014), p 63; Lambooy (2010), pp 107–46.

should be taken into account.³⁸ Company law across jurisdictions also allows boards to integrate environmental externalities beyond legal compliance, at least as far as the business case argument allows – that is as far as the case can be made that this is profitable for the company in the long run. Within the current system, company law provides perhaps surprising latitude to the board and by extension the management to shape business in a sustainable manner.³⁹

However, boards generally do not choose environmentally friendly, low-carbon options within the realm of the business case, let alone challenge the outer boundaries of the scope to pursue profit in a sustainable manner where this might mean somewhat slower growth or reduced profits. This is because of the overriding social norm of shareholder primacy, which, supported by management remuneration incentives and other drivers, dictates that board and senior managers are the ‘agents’ of the shareholders and should maximise returns to shareholders as measured by the current share price.⁴⁰ This social norm, which is so pervasive that it has become a legal myth,⁴¹ leads to an extremely narrow, short-term, focus on maximisation of returns.⁴²

The barrier to corporate sustainability posed by the shareholder primacy norm is exacerbated by the chasm between company law’s approach to corporate groups and the dominance and practice of such groups. While companies are ‘creatures of national law’,⁴³ corporate groups are transnational, making a holistic regulation of heterogeneous groups across national borders extremely difficult. The parent company’s tight control of the group in practice is perversely matched by the limited legal possibilities for holding the parent company liable for subsidiaries’ environmental and social transgressions.⁴⁴

So-called non-financial reporting has become a regulatory tool of choice not only for the EU but also for national legislators worldwide, in a desire to influence companies and their investors to take corporate sustainability issues more into account. Inspired by ideas based on reflexive theory, the compromise solution between those wishing to regulate companies’ environmental and social performance more strictly and those who do not, is asking companies to report on what they are doing.⁴⁵ Despite good intentions and much hard work in this area, reporting requirements have proved strikingly insufficient in influencing companies and their investors. Much reporting remains left to voluntary and discretionary measures, leading to risks of corporate capture, lack of comparability, lack of consistency and uncertainty in benchmarking.⁴⁶ Notably, the new EU non-financial reporting requirements, while they may be perceived as an intermediary step towards the internalisation of social and environmental impacts, currently lack the scope and the necessary verification requirements to be a real game-changer.⁴⁷

With the shareholder primacy drive thus left largely unchecked, the resulting practices of companies is detrimental to those affected by environmental degradation, violation of human rights and economic exploitation today, as well as to the possibility for future generations to fulfil their own needs. It is also damaging to the interests of the companies themselves and shareholders with more than a very short-term perspective on their investment, including institutional investors such as pension funds and sovereign wealth funds.

A rising number of investors today claim to have a broader and more long-term focus, including pension funds, which by very definition have a long-term perspective. However, what

³⁸ Villiers C (2013).

³⁹ Sjøfjell et al (2015), n 23 above. This is supported for the institutional investors by the 2014 report ‘Resource Efficiency and Fiduciary Duties of Investors’ (hereinafter EY Report).

⁴⁰ Ibid.

⁴¹ Along with that of shareholders owning companies, which, as a matter of company law, they clearly do not. For an eloquent dismantling of the myth, see Ireland (1999), See also Talbot (2015); du Plessis (2016).

⁴² See Sjøfjell and Anker-Sørensen (2013).

⁴³ As repeatedly emphasised by the Court of Justice of the European Union, see Daily Mail, Case 81/87 [1988] ECR 5483, para. 19: ‘companies are creatures of the law’ and ‘exist only by virtue of [...] national legislation which determines their incorporation and functioning’; also repeated in *Überseering*, Case C-208/00 [2002] ECR I-9919 para. 81.

⁴⁴ Sjøfjell et al (2015), n 23 above.

⁴⁵ Villiers and Mähönen (2015), pp 175–225.

⁴⁶ Ibid.

⁴⁷ Villiers and Mähönen (2015), pp 274–311. For a more optimistic view, see du Plessis (2016).

may be referred to as socially responsible investing is still a fringe movement,⁴⁸ and institutional investors are generally caught up in a system where misguided efforts at promoting efficiency and maximising value have led to short term return requirements that exacerbate the narrow, short-term effect of the shareholder primacy drive.⁴⁹ While many institutional investors appear to recognise that they in the long run will see detrimental effects of failing to properly consider broader issues, notably climate change, they are under increasing immediate pressure to maximise returns for beneficiaries in a context of persistently low yields and interest rates.

This negative impact is partly within the scope of the law and partly as a result of violation of the law. The negative impact within the scope of the law is largely a result of companies and shareholders exploiting the scope the law gives them to maximise short-term returns through an externalisation of environmental and social concerns, by using loopholes and grey areas and taking advantage of the lack of international regulation of business. The negative impact as a result of violation of the law is an aspect often not addressed in the CSR, which speaks about what business and finance should do beyond the law, presupposing legal compliance that is not always present. Discussing what business and investors should do beyond the law deflects debate away from the widespread reality of *the lack of* legal compliance, which may also explain the focus on generating more reporting requirements as a mechanism, rather than seeking to strengthen and increase the supervision and enforcement of the rules and standards that already are in place. It also reflects persistent belief that markets will self-correct through pressure from investors and corrections to share price where there is misconduct or failure to disclose material information. Of course, there is no clear dichotomy between law and ethics, or between lawful and illegal – they are not separate issues but rather a gliding scale on the spectrum from clearly legal and legitimate to obviously illegal and illegitimate.

Keeping in mind these insights on shareholder primacy drive as a main barrier for corporate sustainability, this chapter will now discuss the extent to which corporate governance codes influence the relationship between the shareholders of the listed companies and the companies themselves.

3 The Triple Failure of Corporate Governance Codes

Corporate governance codes are arguably, taken as a whole, detrimental to rather than contributing to corporate sustainability. Here I discuss my observations of three interlinked features of the detrimental nature of corporate governance codes, using examples of such codes from around the world. This triple failure consists of the way the corporate governance codes are informed by and promote the destructive shareholder primacy drive, how this leads to a narrow agenda and vision that does not adequately take account of social and environmental costs, and how recent attempts to rectify this issue are typically superficial attempts at including broader societal interests, which are insufficient in their incremental approach to mitigate the deeply entrenched nature of the shareholder primacy drive.

3.1 The Codes are Informed by the Shareholder Primacy Drive

Corporate governance codes are generally speaking informed by the same Anglo-American corporate governance movement⁵⁰ that has introduced and promoted the shareholder primacy drive,⁵¹ with the UK Corporate Governance Code widely regarded as one of the most influential corporate governance codes around the globe.⁵² The development of corporate governance codes

⁴⁸ Richardson (2015), pp 226–73.

⁴⁹ In spite of, for example the EY report, n 39 above, confirming that institutional investors are allowed to prioritise broader societal concerns.

⁵⁰ See Haxhi and Aguilera (2012), n 2 above, at p 238: ‘the wave of corporate scandals at the end of the 1980s and the low confidence of shareholders fostered (primarily in the US and the UK) the emergence of new modes of corporate governance regulations and codes’

⁵¹ Sjøfjell et al (2015), n 23 above; see also Haxhi and Aguilera (2012), n 2 above, p 240.

⁵² Hadjikyriannou (2015), p 18. See also: ‘Several scholars consider the Cadbury Code (1992) as the original corporate code, although similar codes had already been created in the late 1970s, triggered by the conglomerate

all over the world accelerated after the UK Cadbury Report on Corporate Governance of 1992, a phenomenon variously documented and discussed by various contributors to this book.⁵³ The UK code's introduction includes a statement about the purpose of corporate governance being to ensure the 'long-term success of the company',⁵⁴ – the same phrase used in the UK Companies Act Sect. 172. This 'success', it follows, is 'for the benefit of its members [shareholders] as whole'. The code thereby reveals its main focus on shareholders, to whom it regards the company as mainly accountable to according to company law, already in its preface, where it otherwise merely encourages the recognition of 'other providers of capital'.⁵⁵ Nothing is said in the introduction about other interests, except for a generic reference about ensuring 'effective engagement with key stakeholders'. This aspect is neither repeated nor adequately defined elsewhere in the Code.⁵⁶

Codifying the UK company law's 'enlightened shareholder value' approach, the Companies Act Sect. 172 goes on to describe the various interests, including those of employees and 'the impact of the company's operations on the community and the environment', that the board is to 'have regard to'.⁵⁷ As Charlotte Villiers has argued, the UK missed a rare opportunity in its 2006 reform of the Companies Act to create a progressive and sustainable system of company law.⁵⁸ Strikingly, the UK code does not attempt to advise how this 'enlightened' approach could be operationalised, concentrating instead on shareholders' interests.⁵⁹

Connecting executive remuneration to the 'success of the company' therefore may be understood as incentivising executives to focus on the shareholder interest.⁶⁰ The only nod to the issues listed in the UK Companies Act Sect. 172 is the possible inclusion of 'non-financial metrics where appropriate' in the performance criteria, and the attempt to mitigate the short-termist effect of share-based remuneration in suggesting that 'the remuneration committee should consider requiring directors to hold a minimum number of shares and to hold shares for a further period after vesting or exercise'.⁶¹

The UK code includes recommendations for the dialogue with shareholders and other investors.⁶² The code contains nothing about a broader dialogue with any other affected interests, which gives rise to the question whether the 'key stakeholders' in the introduction indeed are just the investors. The UK code's exclusive focus on shareholder interests accordingly strengthens and promotes the shareholder primacy drive, and negates any positive effect that arguably could have been conceivable from the codification of the 'enlightened' shareholder value in the UK Companies Act.

The OECD Principles for Corporate Governance are also highly influential.⁶³ Also in the 2015 reform process these principles were exposed as being influenced by the legal myths of

merger movement, the managers' hostile takeover behaviour, and the shareholder rights movement in the US at that time. ... Following the example of the New York Stock Exchange, which has continued to issue codes since the late 1970s, other stock exchanges, for example, Hong Kong Stock Exchange, 1989, or investors' organizations, for example, Irish Association of Investment Managers, 1991, issued their own codes', Haxhi and Aguilera (2012), p 240.

⁵³ Cison et al (2012) pp 620–648. with further references.

⁵⁴ UK Corporate Governance Code (September 2014), p 1.

⁵⁵ Ibid, Preface, item 8, p 3.

⁵⁶ Ibid, item 4, p 2.

⁵⁷ See also du Plessis et al (2015), Ch 1 on the concept of corporate governance, p. 10: 'how difficult it seems to break with the "shareholder dominance-indoctrination" that has been so strong over so many years. Clinging to the past and in fact only seeing the interests of other stakeholders in an "enlightened" way still makes these interests peripheral, as Janet Dine and Marios Koutsias put it, this approach is simply "a fig leaf for stakeholders other than shareholders"'.⁵⁸

⁵⁸ Villiers (2015), pp 105–73.

⁵⁹ The words 'environment' and 'community' are not mentioned in the code, and 'employee' only in another context, UK Corporate Governance Code (September 2014). This as opposed to the Corporate Governance Guidance and Principles for *Unlisted* Companies in the UK, where the interests in the UK Companies Act Sect. 172 are referred to, although not sought operationalised, in the recommendation on Directors legal duties, Sect. IV.

⁶⁰ The UK Corporate Governance Code (September 2014), Preface, item 5, p 2, and Sect. D.

⁶¹ Ibid, Schedule A: The design of performance-related remuneration for executive directors.

⁶² UK Corporate Governance Code (September 2014), Sect. 10.

⁶³ Now also endorsed by the G20, the Principles are now formally named G20/OECD Principles of Corporate Governance (as at 5 September 2015). The influence of the OECD Principles is made abundantly clear by the OECD itself, setting out that the Principles are 'the international benchmark in corporate governance'; and 'have

shareholder owning companies and the members of the board being the agents of the shareholders.⁶⁴ Although the OECD Principles explicitly recognise the relevance of ‘the interests of employees and other stakeholders’ (albeit with focus on ‘their important role in contributing to the long-term success and performance of the company’) and recognise that there are also other relevant factors, such as ‘environmental, anti-corruption or ethical concerns’, practical guidance on how to address these concerns are mainly left to other instruments.⁶⁵ As underscored by Morrow and Johnston, the OECD Principles:

take an approach exclusively focused on the role of corporations and markets in creating growth. They should reference the responsibilities of corporations to long-term prosperity and sustainability. The Principles should also reference the capital market pressure on publicly listed companies to generate short-term returns, which may lead to financial engineering and share buy-backs, and the corresponding need for a robust state response.⁶⁶

The OECD principles accordingly fail to mitigate shareholder primacy and to the contrary, it could be argued, promote essentially ‘Anglo-Saxon’ concepts to the rest of the world.

Convergence of corporate governance codes is perceived as progress *inter alia* in the European Union. The EU has not seen a need to harmonise the codes themselves.⁶⁷ However, the EU has without an assessment of the quality of the content of the codes, and of the influence of codes on business and financial market trends, endorsed the codes through EU-wide codification of the ‘comply or explain’ mechanism in 2006.⁶⁸ Together with the inclusion of corporate governance codes in the listing requirement of stock exchanges, this has given increased legitimacy and weight to the codes.

This picture is not without nuances. For instance, Cicon et al, and Haxhi and Aguilera point out that there is not a full-blown convergence to the Anglo-Saxon model in Europe, with Cicon et al stating ‘that some elements of continental governance codes are converging to UK practices while others diverge’ and that ‘any convergence between national codes is more likely to occur on the basis of “best practices” than convergence to a common law model’.⁶⁹ However, the dominant position of the UK corporate governance code undoubtedly influences the perception of what is regarded as ‘best practice’, enforced through the pressure of international investors to adopt

been adopted as one of the Financial Stability Board’s key standards for sound financial systems, and have been used by the World Bank Group in more than 60 country reviews worldwide. They also serve as the basis for the guidelines on corporate governance of banks issued by the Basel Committee on Banking Supervision’.

⁶⁴ Morrow and Johnston (2015), p 2. See also the early criticism that the OECD Principles ‘fail to adequately discuss why shareholder rights are elevated to a universal norm, whereas accountability to other parties implicated in the corporation, such as creditors and workers, is not’; Sarra (2001).

⁶⁵ ‘... including the OECD Guidelines for Multinational Enterprises, the Convention on Combating Bribery of Foreign Public Officials in International Business Transactions, the UN Guiding Principles on Business and Human Rights, and the ILO Declaration on Fundamental Principles and Rights at Work, which are referenced in the Principles’, G20/OECD Principles of Corporate Governance (5 September 2015), Introduction, p 10. Indeed, it is as late as in the current G20/OECD Principles on Corporate Governance that a mere reference to the OECD Guidelines for Multinational Enterprises has been included for the first time.

⁶⁶ Morrow and Johnston (2015), n 64, with reference *inter alia* to Mayer C (2013); and Lazonick (2010), pp 675–702.

⁶⁷ The European Commission concluded in COM(2003)284 Final, that there was no need for a joint EU corporate governance code, as the codes, as opposed to company law, showed a ‘remarkable degree of convergence’ with reference to ‘Comparative Study of Corporate Governance Codes Relevant to the European Union and its Member States’ (On behalf of the European Commission, Weil, Gotshal & Manges LLP, January 2002), where the ‘growing interest in corporate governance codes’ is explained as a reflection of the understanding that ‘equity investors, whether foreign or domestic, are considering the quality of corporate governance along with financial performance and other factors when deciding whether to invest in a company’, (p 2). Dismantling barriers in the legal regimes of the Member States was therefore perceived as more important, while a need was perceived to agree on ‘some specific rules and principles’ at EU level in Directives or Recommendations ‘and a certain co-ordination of corporate governance codes in the EU should be organised to encourage further convergence and the exchange of best practice’ and: ‘adequate co-ordination of corporate governance codes should be ensured. COM (2003) 284 Final, Sect. 3.1. The relevance of the OECD code was also emphasised; Ibid.

⁶⁸ Directive 2006/46/EC of the European Parliament and of the Council (14 June 2006).

⁶⁹ Cicon et al (2012), n 53, conclude that they ‘fail to find evidence of an unchecked thematic convergence towards an Anglo-Saxon model of corporate governance, with some code themes converging to UK practices while others diverge’. See also Haxhi and Aguilera (2012), n 2, p 241.

Anglo-Saxon norms of corporate governance.⁷⁰ Indeed, the nuances identified by Cicon et al, and Haxhi and Aguilera, do not seem to support the idea that there is any clear alternative corporate governance stream to the strongly shareholder primacy influenced model.⁷¹ There are rather exceptions to the rule, to which I will return shortly.⁷²

There is often a tension between company law in pluralistic ('stakeholder') jurisdictions and corporate governance codes, for example in The Netherlands where the Takeover Directive was adopted in the European Union. The Dutch system allows the board to take defensive measures, referring to the danger that shareholders would be 'motivated exclusively by the price that is offered', while the board should 'take into consideration all relevant interests, including the interests of the shareholders', and that if defensive measures were not permitted, 'the management board would not be in a position to weigh all the interests at stake'.⁷³

We see this also in the otherwise pluralistic jurisdiction of France, where the most recent corporate governance code hardly mentions any other interest than shareholders, failing to give the board's duty to ensure the interests of the company any other content.⁷⁴ Also in Germany, regarded as a strong pluralistic jurisdiction, where the code in 2009 was amended to encapsulate the German concept of the interests of the company,⁷⁵ as Heuschmid points out, the code also encourages companies to adopt many of the instruments of shareholder primacy code.⁷⁶ An

⁷⁰ And when Haxhi and Aguilera (2012) state that transnational code setters such as the OECD: 'by promoting a common set of practices regardless of country characteristics, may indirectly be contributing to the achievement of convergence across national governance practices' and that they 'are not moving corporate governance toward a particular model (e.g., Anglo-Saxon or Continental European) but toward a more general global model' (p 241), they may be ignoring the very strong influence of the shareholder-focused Anglo-Saxon model on the OECD guidelines (although also the more pluralistic Continental-European perspectives have had some influence); see also Morrow and Johnston (2015), n 64. And indeed, Haxhi and Aguilera (2012) also point out 'Considering that Anglo-Saxon business practices are the source of a transnational process, there may be isomorphic pressures that stretch beyond the nation state, thereby suggesting the possibility of the emergence of a transnational or converging community', p 242.

⁷¹ And while there are undoubtedly cultural (societal and institutional) divergences in implementation of, for example, the 'comply and explain' principle, Haxhi and Aguilera (2012), pp 243–244, my point here is the general promotion of the shareholder focus by the corporate governance codes. See also Maurović and Grgorić (2009) after analysing the following European codes: French, Italian, Austrian, German, UK, Swiss, Slovenian, Norwegian and Croatian: 'For the most part, the code recommendations are very similar and encourage companies to adopt best governance practice' and: 'Today, the main challenge in the corporate governance development may not be to establish the rules and procedures to assure the accountability of management in front of the shareholders, but to convince shareholders, that they have also to take over more responsibility – the one of an owner' [sic]. Concerning the responsibility of shareholders, see Sjäffjell (forthcoming).

⁷² See Section 3.3.

⁷³ For an early contribution, see Schaafsma (1992), pp 226–27. This is in line with report regarding takeover defences published just after the Takeover Directive was adopted, which stated that the decision-makers would have to be 'guided by the interests of the company, its enterprise and all its stakeholders when exercising voting rights' – adding that even a 'hostile takeover may be in the interest of the company', Dortmund (2004), p 25 [as in the printed version]. The Netherlands therefore opted out of the board neutrality rule of the Takeover Directive; while the Dutch corporate governance code '[i]n an effort to restore trust and confidence in corporate management and supervision and also to bring Dutch corporate governance rules and practices into line with the best in the Western world,' is negative towards takeover defences, see, the argumentation against the legislative choice in para. 8 of the committee's comments in The Dutch Corporate Governance Code (9 December 2003). The resulting pressure on Dutch companies to dismantle anti-takeover mechanisms is discussed in the current Dutch Corporate Governance Code (10 December 2008), in the section on developments after the introduction of the 2003 code, p 47, with the tension reflected in the omission of a separate chapter on takeovers, p 52, and with the concession on p 7 that 'decision-making should also take account of other relevant interests' in takeovers.

⁷⁴ See the French AFEP-MEDEF Corporate governance code of listed corporations (Revised June 2013). The AFG Recommendations on corporate governance (revised 2011), for 'professional management companies', mentions in item 1 a reference to 'social and environmental factors' and encourages to give them the 'the same level of consideration that it does to consolidated accounts'. See also the multi-jurisdictional company law analysis in Sjäffjell B et al, n 23.

⁷⁵ Setting the interests of the enterprise first and the shareholders on line with other interests: 'The Management Board is responsible for independently managing the enterprise in the interest of the enterprise, thus taking into account the interests of the shareholders, its employees and other stakeholders, with the objective of sustainable creation of value, German Corporate Governance Code (revised 2015), Principle 4.1.1. This was included in 2009, to strengthen stakeholder interests in order to meet 'public criticism of capitalism', see the German Corporate Governance Code as amended on 18 June 2009.

⁷⁶ Heuschmid (2012) The protection of workers under EU company law: – the current position and future prospects, p 127. For a more in-depth comparative company law analysis, Sjäffjell B et al (2015), n 23.

example here is the German Code's promotion of board neutrality in the face of a takeover.⁷⁷ While takeover attempts may be rare occurrences in the life of an individual company, such recommendations promote shareholder primacy, informed by Anglo-American inspired, legal-economic postulates concerning the 'market for corporate control', with its detrimental effects on corporate governance generally.⁷⁸

Corporate governance codes generally promote a much more restricted view of the role of the boards than is warranted through a comparative analysis focusing on company law.⁷⁹ Under the influence of the law-and-economics inspired, Anglo-American corporate governance debate, much of the Nordic legal scholarship has moved away from the broader, 'Germanic' position, to the extent that postulates derived from the corporate governance movement are taken to be reflections of the law.⁸⁰

3.2 The Codes Externalise Environmental and Social Impacts of Business

The codes' typical support of the shareholder primacy drive entails that they promote the negative effects, including the narrow and short-term maximisation of returns, which leads to the externalisation of environmental and social impacts of business. As the Panama Papers revelations have indicated, concerning just one segment of the current system, there is a profit maximisation drive behind economic decision-making that informs a perverted cost-benefit analysis of legal compliance.⁸¹ Clearly that kind of economic decision-making gives little scope for encompassing broader environmental and social interests.

This externalisation is enhanced through the belief that other interests than those of the shareholders are taken care of by substantive (national) law, such as environmental law and labour law, ignoring that the shareholder primacy drive exploits the combination of the following three aspects: While companies are 'creatures of national law', business and finance is transnational, and international regulation is fragmented and generally speaking 'toothless'. For instance, we see this in, inter alia, the Chinese code, which in its stakeholder chapter speaks of respecting 'the legal rights of banks and other creditors, employees, consumers, suppliers, the community and other stakeholders',⁸² and as concerns the duties of the board: complying with 'laws, regulations and its articles of association', treating all shareholders equally and in addition being 'concerned with the interests of stakeholders'.⁸³

The OECD Principles also appear to take this starting point, in their recommendation on the role of stakeholders, where it states that the corporate governance framework should 'recognise the rights of stakeholders established by law or through mutual agreements', albeit opening up for broader stakeholder involvement: 'encourage active co-operation between corporations and stakeholders', though with a focus that does not speak of environmental or social concerns: 'in creating wealth, jobs, and the sustainability of financially sound enterprises'.⁸⁴ Stakeholder interests are then in the typical manner of corporate governance codes subordinated to those of the shareholders in the OECD's recommendation on the responsibilities of the board, where it is emphasised that the board:

... is not only *accountable* to the company and its shareholders but also has a *duty* to act in their best interests. In addition, boards are expected to *take due regard of*, and deal fairly with, other

⁷⁷ German Corporate Governance Code (revised 2015), Principle 3.7.

⁷⁸ Sjøfjell (2011).

⁷⁹ See for example, already Davies (2001), p 451: 'Historically, the roles played by boards have been (and probably still are) much more varied than the prescriptions of modern corporate governance codes would suggest', and Sjøfjell B et al (2015), n 23.

⁸⁰ Sjøfjell B (2013), pp 1–58.

⁸¹ See about the Panama Papers at panamapapers.icij.org/. See also Anker-Sørensen (2016).

⁸² The Code of Corporate Governance for Listed Companies in China, item 81 (under Principle 5 on 'Stakeholders').

⁸³ Ibid, item 43 (under Principle 3 on 'Duties and Composition of the Board of Directors').

⁸⁴ G20/OECD Principles of Corporate Governance (5 September 2015), Principle IV, see also Principle IV, item D, p 37.

stakeholder interests including those of employees, creditors, customers, suppliers and local communities. Observance of environmental and social standards is relevant in this context.⁸⁵

In the detailing of the recommendation on the responsibilities of the board, after setting out the duty to achieve ‘an adequate returns for shareholders’, it focuses on legal compliance in ensuring other interests are taken care of, while throughout emphasising the importance of taking care of the interests of all shareholders.⁸⁶

3.3 *Superficial Attempts at Integrating CSR*

Mainstream corporate governance is gradually opening up to corporate social responsibility issues. We see this in the way that CSR issues are being mentioned ever more frequently in corporate governance codes, as documented by Szabo and Engsig Sørensen in their analysis of the codes of the EU Member States as well as Norway, Iceland, and Switzerland, and referring also to the OECD Principles.⁸⁷ However, Szabo and Engsig Sørensen show that the common denominator seems to be the ‘vagueness of the recommendations on CSR issues’, making the CSR recommendations ‘soft’.⁸⁸ They also point out that ‘the countries whose codes are most dominant in the field of corporate governance do not seem to be at the forefront of integration of CSR in their corporate governance codes’.⁸⁹ Many of the codes make references to ‘stakeholders’,⁹⁰ often containing transparency recommendations, and some also including ‘stakeholder’ interests as factors to be taken into account in the decision-making in the companies.⁹¹

There is an inherent tension in the emphasis on voluntary, often vague, CSR guidelines as typically set out in the corporate governance codes where CSR is mentioned and the dominant social norm of maximisation of returns for shareholders. There is seldom any true integration of broader societal issues, environmental, social or any other than shareholder interests, into the operational recommendations of the codes.⁹² An example here is the Norwegian code, which has a good starting point, setting out in its introduction that:

Good corporate governance will ... help to ensure the greatest possible value creation over time in the best interests of shareholders, employees and other stakeholders. (...)The Code ... is intended to strengthen confidence in listed companies among shareholders, the capital market and other interested parties. It is important that companies enjoy good relationships with society as a whole, and particularly with the stakeholder groups that are affected by their business activities. Companies should therefore pay careful attention to establishing guidelines for their activities that take into account these issues.⁹³

This is followed up in the recommendation to implement and report on corporate governance, where it is stated that the board should ‘define the company’s basic corporate values and formulate ethical guidelines and guidelines for corporate social responsibility in accordance with these

⁸⁵ Ibid, Principle IV (emphasis added).

⁸⁶ Ibid, Principle VI, Item D, p 7.

⁸⁷ Szabó and Sørensen (2013).

⁸⁸ Ibid.

⁸⁹ Ibid.

⁹⁰ About half of the codes attempt to define ‘stakeholders’, mostly by ‘giving examples of groups which could be considered stakeholders. Most of these codes interpret the concept broadly, covering for example: employees, clients, creditors, and the communities in which the company operates, while some codes add ‘further groups to the already broad definition, such as civil society groups, local government and self-government bodies and local businesses that sell goods and services to the company’s employees and the public sector’, Szabó and Sørensen (2013), p 12.

⁹¹ Ibid., Sect. 3. On p 11, the authors note that: ‘Despite the frequent use of the term ‘stakeholder’, further analysis suggests that the requirements in the corporate governance codes are far from reflecting a uniform, comprehensive strategic approach to stakeholders. For example, a group of codes, despite of mentioning stakeholders, do not seem to impose any requirements in relation to stakeholders, and some of these codes only mention the stakeholders in their introductions, forewords or preambles’.

⁹² See also Szabó and Sørensen (2013), p 27: ‘Similarly to the recommendations for CSR transparency, recommendations for integrating CSR into business operations are also scarce and diverse’.

⁹³ Norwegian Code of Practice for Corporate Governance, 30 October 2014, Introduction.

values'.⁹⁴ This is tentatively integrated in the recommendation on risk management and internal control, stating that these functions 'should also encompass the company's corporate values, ethical guidelines and guidelines for corporate social responsibility'.⁹⁵ However, this approach is not in any way integrated fully, and in the commentary to this recommendation, the focus is on 'securing shareholders' investment in the company and the company's assets',⁹⁶ with no further mention on how the 'ethical guidelines and guidelines for corporate social responsibility' should be followed up.⁹⁷ The recommendation on the composition of boards emphasises that this 'should ensure that the board can attend to the common interests of all shareholders' and makes no mention of competence to be able to ensure broader corporate sustainability issues.⁹⁸ The recommendation concludes by advocating share ownership by board members,⁹⁹ an economic incentive aimed at promoting focus on the interests of the shareholders, and instrumental in the shareholder primacy drive.¹⁰⁰ Similarly, the recommendation of guidelines for remuneration of executive personnel is meant to 'help to ensure convergence of the financial interests of the executive personnel and the shareholders'.¹⁰¹ The Norwegian code also recommends board neutrality in takeover situations, informed by, inter alia, the legal-economic postulates inspired by the 'market for corporate control' theory and its alleged disciplining effect on corporate management.¹⁰²

Typically, corporate governance codes subordinate all other interests to those of shareholders. The Chinese code illustrates this approach when it stipulates that 'while maintaining the listed company's development and maximizing the benefits of shareholders', the company shall be 'concerned with the welfare, environmental protection and public interests of the community in which it resides', and 'pay attention to the company's social responsibilities'.¹⁰³ This is clearly insufficient in light of the strong social norm of shareholder primacy, and in light of the much more clear-cut operational promotion of shareholder interests in the codes.

In addition, codes that include environmental and social interests in a relatively specific and clear manner, such as the Australian code,¹⁰⁴ which includes integration of these issues to some

⁹⁴ Ibid, Principle 1, elaborated on in the commentary to this principle in the following manner: 'At the core of the concept of corporate social responsibility is the company's responsibility for the manner in which its activities affect people, society and the environment, and it typically addresses human rights, prevention of corruption, employee rights, health and safety and the working environment, and discrimination, as well as environmental issues', see the Norwegian Code, p. 13.

⁹⁵ Ibid, Principle 10.

⁹⁶ Ibid, commentary to Principle 10, p 43.

⁹⁷ Ibid, pp 43–44.

⁹⁸ Only stating generically that the members of the board should meet 'the company's need for expertise, capacity and diversity', The Norwegian Code of Practice for Corporate Governance, 30 October 2014, Principle 8, although it does say in the commentary to that principle that: 'The board is responsible as a collegiate body for balancing the interests of various stakeholders in order to promote value creation by the company', see the Norwegian Code, p 32.

⁹⁹ Norwegian Code of Practice for Corporate Governance, 30 October 2014, Principle 8, as emphasised also in the commentary to this principle, stating that share ownership by board members 'can contribute to creating an increased common financial interest between shareholders and the members of the board', see the Norwegian Code, p 35.

¹⁰⁰ Informed by the mainstream legal-economic postulate of board members as agents for shareholders. That this may have a negative impact is indirectly conceded by the code, when it in the commentary to Principle 8, adds that: 'At the same time, members of the board who do hold shares should take care not to let this encourage a short-term approach which is not in the best interests of the company and its shareholders over the longer term', see the Norwegian Code, p 35.

¹⁰¹ Ibid, Principle 12, while not allowing the same for board members, which should not be granted share options, Principle 11 (but are encouraged to own shares, see Principle 8, and to use part of their remuneration to buy shares, see the commentary to Principle 11 on p 45).

¹⁰² Ibid, Principle 14, and see the commentary to this principle, p 52. See further Sjøfjell (2011), n 78.

¹⁰³ Code of Corporate Governance for Listed Companies in China, item 86 (under Principle 5 on stakeholders).

¹⁰⁴ Australian Corporate Governance Principles and Recommendations, Principle 3: 'Acting ethically and responsibly goes well beyond mere compliance with legal obligations and involves acting with honesty, integrity and in a manner that is consistent with the reasonable expectations of investors and the broader community. It includes being, and being seen to be, a "good corporate citizen"', where the examples include human rights, labour, environmental responsibility and 'only dealing with business partners who demonstrate similar ethical and responsible business practices'.

extent in its risk management recommendation,¹⁰⁵ show the primacy of the shareholders (or more broadly: investors) when reading the code as a whole. We see this in the Australian code's explanation of the approach of the code: it is meant to enable dialogue between investors and the board and provide information to the investors to decide on future investments, and the purpose of the code is to 'meet the reasonable expectations of most investors in most situations'.¹⁰⁶ The subordination of environmental and social interests to investor interests is also clearly demonstrated in the principle of acting ethically and responsibly, when it goes on to say that: 'Acting ethically and responsibly will enhance a listed entity's brand and reputation and assist in building long-term value for its investors'.¹⁰⁷ In the commentary it does not mention any other interests than the investors and states that 'investor confidence can be enhanced if a listed entity clearly articulates in a code of conduct'.¹⁰⁸ While it is laudable that the commentary emphasises that such code of conduct must be 'promoted as such across the organisation and reinforced by proper training and proportionate disciplinary action if it is breached', it appears to rely solely on the interest of the investors to ensure that it is operationalised and enforced.¹⁰⁹

Exceptionally, the Brazilian corporate governance code, which also has a much broader scope than the typical delimitation to listed companies, reflects a pluralistic business law approach.¹¹⁰ Rather than regulating solely the responsibility of the board (and by extension management) towards shareholders and other investors, it defines 'agents of governance' to include shareholders, the board, management and auditors, and stipulates their accountability and their responsibility to 'watch over the sustainability of their organizations, to ensure their company's longevity, by observing social and environmental principles when identifying business deals and operations'.¹¹¹ Although the board is regarded as accountable to the shareholders, the code emphasises that the board must not lose 'sight of the other stakeholders, the organization's purpose, and its sustainability in the long term', and that decisions should be made in favour of the 'best interests of the organization as a whole, regardless of the parties who have appointed or elected its members'.¹¹² The mission of the board is to: 'protect and value the organization, optimize the return on investment in the long term and seek a balance between the desires of stakeholders'.¹¹³ It is not clear what the relationship is intended to be between 'optimising' return on investments, which may be read as maximising returns for investors, and seeking a 'balance between the desires of stakeholders'. Nor is it obvious whether there is to be a framework or direction to the balancing of 'desires'. The Brazilian code includes sustainability as a core task for the board, setting out that the board, in 'seeking the organization's viability and longevity' should:

¹⁰⁵ Australian Corporate Governance Principles and Recommendations, Principle 7.4: 'A listed entity should disclose whether it has any material exposure to economic, environmental and social sustainability risks and, if it does, how it manages or intends to manage those risks', where it in its commentary exceptionally also emphasises the broader risk beyond the company and its investors: 'How a listed entity conducts its business activities impacts directly on a range of stakeholders, including security holders, employees, customers, suppliers, creditors, consumers, governments and the local communities in which it operates. Whether it does so sustainably can impact in the longer term on society and the environment'.

¹⁰⁶ Australian Corporate Governance Principles and Recommendations, p 3.

¹⁰⁷ Ibid, Principle 3.

¹⁰⁸ Ibid, Commentary to Principle 3.

¹⁰⁹ Ibid: And it appears more of an afterthought than a true integration when the commentary to Principle 6.2 on the entity's investor relations programme in its last paragraph concedes that: 'A listed entity's investor relations program may also run in tandem with a wider stakeholder engagement program involving interactions with politicians, bureaucrats, regulators, unions, consumer groups, environmental groups, local community groups and other stakeholders', Commentary to Principle 6.2.

¹¹⁰ The issuer of the Brazilian code, IBGC – a Brazilian non-for-profit organisation – intends to contribute to 'the sustainable performance of organizations and influencing the agents of our society towards greater transparency, fairness and responsibility' (emphasis added), Brazilian Code of Best Practice of Corporate Governance, p 4; see also da Silva (2015).

¹¹¹ Brazilian Code of Best Practice of Corporate Governance, p. 19. However, also the Brazilian code refers to shareholders as owners, p 21.

¹¹² Ibid, Principle 2.1.

¹¹³ Stakeholders are defined as 'shareholders and other stakeholders', the latter understood as: 'Any person, entity, or system that affects or is affected by the activities of an organization', Brazilian Code of Best Practice of Corporate Governance, Principle 2.2.

adopt and make sure Management also adopt social and environmental considerations when making decisions on business deals and operations. It is the Board's responsibility to guide the process of defining tools and management indicators, including compensation, so as to link sustainability aspects to the strategic choices and reflect them in regular reports (see 3.5). This attitude should be disseminated throughout the production chain, through formal mechanisms, such as contracts or partnership agreements.¹¹⁴

On reporting, connected to these board duties, the Brazilian code states, *inter alia*, that organisations should:

prepare periodical reports in accordance with internationally accepted standards as regards accounting and guidelines that include economic, financial, social, environmental, and corporate governance aspects. This approach permits a comparison of reports, so that investors and society at large can learn about the commitments, policies, indicators, and ethical principles of organizations. Such information contributes to a better assessment of the organization's managerial quality and the risks that the company is willing to face.¹¹⁵

As I will return to shortly, integrating corporate sustainability issues into the role and duties of the board, and connecting this with reporting duties, is an integral part of the necessary reform of corporate governance.¹¹⁶ However, in the Brazilian code, 'sustainability' seems to concern the sustained operations of the business, not sustainability in the broader sense as in contributing to securing the safe and just operating space for humanity within the planetary boundaries. Together with the 'optimising' of returns on investments, and the open balancing of 'desires' of stakeholders, without any direction or prioritisation, there is a risk that the Brazilian code, although pluralistic in its approach, will not mitigate shareholder primacy. To the extent that it does mitigate shareholder primacy, it may open for any balancing of stakeholder interests as long as that promotes the longevity of the business itself. In an environmental and social sense, these choices may very well be unsustainable.

The South African code is exceptional in its statement that incremental improvement is insufficient and that fundamental shift towards sustainability is required, with sustainability appearing to be used in the broader sense:

Sustainability is the primary moral and economic imperative of the 21st century.¹¹⁷ It is one of the most important sources of both opportunities and risks for businesses. Nature, society, and business are interconnected in complex ways that should be understood by decision-makers. Most importantly, current incremental changes towards sustainability are not sufficient – we need a fundamental shift in the way companies and directors act and organise themselves.¹¹⁸

In spite of this, the code defends the Anglo-Saxon model as functional, in its section on the financial crisis, stating that while current problems are 'to an extent indicative of shortcomings in the global financial architecture', they should 'not be interpreted as reflecting dysfunction in the broader South African and UK corporate governance models'.¹¹⁹ However, the code goes on to

¹¹⁴ Brazilian Code of Best Practice of Corporate Governance, Principle 2.3.2. The referred to Principle 3.5 states: 'As a result of a clear policy of communication and relationship with stakeholders, the organization should disclose, at least on its website, full, objective, timely and equitable reports from time to time on all aspects of its business activities, including its social and environmental agenda, related party transactions (...), costs of political and philanthropic activities (...), administrators' compensation, and risk factors, among others, in addition to economic and financial and other information required by law'.

¹¹⁵ Ibid, Principle 3.5, following on from the quote in the note immediately above.

¹¹⁶ See Section 4.

¹¹⁷ The code defines sustainability of a company as 'conducting operations in a manner that meets existing needs without compromising the ability of future generations to meet their needs. It means having regard to the impact that the business operations have on the economic life of the community in which it operates. Sustainability includes environmental, social and governance issues', King Code of Governance for South Africa 2009 (King III), p. 61.

¹¹⁸ King Code of Governance for South Africa 2009 (King III), introduction, Sect. 8 on key aspects of the report, item 2, on p. 9.

¹¹⁹ Ibid, Sect. 5 on corporate governance and the financial crisis, p. 8, adding that: 'Populist calls for more general legislative corporate governance reform must be treated with the appropriate caution'.

deliberately distinguish its 'inclusive stakeholder approach' from the influential UK 'enlightened shareholder value' model,¹²⁰ emphasising that shareholders do 'not have a predetermined place of precedence over other stakeholders'.¹²¹

Further, the South African code's encapsulation of the essence of good governance is striking in the way it distinguishes itself from those that focus on maximising returns for shareholders:

Good governance is essentially about effective *leadership*. Leaders should rise to the challenges of modern governance. Such leadership is characterised by the ethical values of responsibility, accountability, fairness and transparency and based on moral duties that find expression in the concept of Ubuntu.¹²² Responsible leaders direct company strategies and operations with a view to achieving sustainable economic, social and environmental performance.¹²³

This approach has support in the South African Constitution, as evident in the code:

The concept of *corporate citizenship* which flows from the fact that the company is a person and should operate in a sustainable manner. Sustainability considerations are rooted in the South African Constitution which is the basic social contract that South Africans have entered into. The Constitution imposes responsibilities upon individuals and juristic persons for the realisation of the most fundamental rights.¹²⁴

The integrated and coherent way these starting points are reflected in the recommendations of the South African code is noteworthy, starting with the recommendation on 'ethical leadership and corporate citizenship' and operationalising this through the role of the board, with each main principles elaborated through governance element, subprinciples and recommended practice.¹²⁵ It also distinguishes itself with clearly taking the stance that sustainability is about more than reporting and that the board's role 'is to set the tone at the top so that the company can achieve this integrated performance', and warns against management remuneration schemes that 'create incentives to maximise relatively short-term results at the expense of longer-term performance'.¹²⁶ As Esser also discusses in chapter two of this book, the forthcoming 2016 reform of the code, King IV, is based on the desire to be on the forefront of corporate governance developments, including on integrated reporting, and is expected to further strengthen the inclusive stakeholder approach.¹²⁷

However, the South African code also stipulates that the board should 'take account of the legitimate interests and expectations of its stakeholders in its decision-making in the best interests of the company',¹²⁸ and without recourse mechanisms for stakeholders when their interests are not sufficiently taken into account, there is a risk that the power dynamic will be weighted to shareholders.¹²⁹ To the extent that shareholders do not dominate, there is also for the pluralistic

¹²⁰ King Code of Governance for South Africa 2009 (King III), introduction, explaining the difference on in this way: 'In the 'enlightened shareholder' approach the legitimate interests and expectations of stakeholders only have an instrumental value. Stakeholders are only considered in as far as it would be in the interests of shareholders to do so. In the case of the 'stakeholder inclusive' approach, the board of directors considers the legitimate interests and expectations of stakeholders on the basis that this is in the best interests of the company, and not merely as an instrument to serve the interests of the shareholder', p 12.

¹²¹ Ibid.

¹²² Ubuntu is defined in the code as a concept which is captured in the expression 'uMuntu ngumuntu ngabantu', 'I am because you are; you are because we are'. Ubuntu means humaneness and the philosophy of ubuntu includes mutual support and respect, interdependence, unity, collective work and responsibility, King Code of Governance for South Africa 2009 (King III); see further at ulwazi.org/index.php/Ubuntu.

¹²³ King Code of Governance for South Africa 2009 (King III), introduction, Sect. 8 on key aspects of the report, item 1, p 9.

¹²⁴ Ibid, on key aspects of the report, item 3, p 10.

¹²⁵ Ibid, see Principle 1 on Ethical leadership and Corporate Citizenship and Principle 2 on Boards and directors, pp 20–31.

¹²⁶ King Code of Governance for South Africa 2009 (King III), introduction, p 11.

¹²⁷ See further iodsa.co.za/?page=KingIV.

¹²⁸ King Code of Governance for South Africa 2009 (King III), item 8.3.1, p 47.

¹²⁹ The code is unclear here: it says that the 'board should oversee the establishment of mechanisms and processes that support stakeholders in constructive engagement with the company', but it does not speak of recourse

approach of the South African code a risk that the board will be exposed to demands from varying sets of ‘stakeholders’. The corporate board then risks becoming a mediator between competing interests without a clear framework or goal.

In Europe, the Dutch attempt in 2016 to reform the corporate governance code stands out, moving away from the current approach with ‘taking into account’ other interests than the shareholder interests. The revision was instigated specifically to mitigate the problem with extreme short-termism:

Recent misconduct at companies, such as accounting fraud, corruption and cartel activity, can in many cases be traced to a business model that focused too much on achieving short-term gains. In those cases, companies had often lost sight of their long-term objectives. In the Monitoring Report on the 2013 Financial Year, the Committee observed that the current Code pays too little regard to the sustainability of companies’ strategies in the long term and the implementation and effectiveness of internal risk management and control systems.¹³⁰

As opposed to the current Dutch code of 2008, the Dutch proposal of 2016 advocates an integrated and coherent approach where environmental, social and governance issues are an integral part of long-term value creation, instead of separately stipulating that ‘corporate social responsibility issues’ should be given ‘due regard’.¹³¹ As a part of this, the Dutch proposal suggests that a long term value creation strategy should be drawn up, where the interests of all the company’s stakeholders are ‘carefully balanced’. This is to be done by the management board and submitted to the supervisory board for approval. As a ‘best practice provision’ it is further suggested that the supervisory board should supervise the management board’s execution of the strategy that is to result in long-term value creation for the company.¹³²

The long-term value creation strategy resonates with the sustainable business plan included in the tentative legislative reform proposal summarised below,¹³³ and if taken seriously and followed up properly, may contribute to a more forward-looking and integrated governance approach. As in the reform proposal summarised below, a link is created in the Dutch proposal between the long-term strategy and the reporting that the management board is to undertake.¹³⁴ However, again, the danger lies in the ‘careful balancing’ of interests. To achieve a safe and just operating space, a prioritisation of interests is required, which needs to go beyond integrating ‘environmental, social and governance issues’.

A similarly broad approach to the Dutch is advocated by the recommendations of the International Corporate Governance Network (ICGN), promoting the responsibility of companies and shareholders to ensure the sustainable creation of value,¹³⁵ without this appearing to have significantly influenced the mainstream tendency of the codes examined in this chapter.¹³⁶

mechanisms, *ibid*, item 8.4.3, p 47. The dispute resolution mechanism in item 8.6.1 on p 48 seems in light of what the introduction of the code speaks of on regarding alternative dispute resolutions p 13, to be focused mainly on resolving business contractual disputes (although item 8.6.1 does also speak of formal dispute resolution processes for internal disputes as well as external disputes, so employees may be encompassed). Stating that: ‘The ultimate compliance officer is the company’s stakeholders who will let the board know by their continued support of the company if they accept the departure from a recommended practice and the reasons furnished for doing so’, is in this context glib rather than convincing; *ibid*, p 8.

¹³⁰ Dutch Corporate Governance Code, Proposal for Revision, 2016, II.1, see Engen (2016). The Dutch proposal goes on to say that the current code confines itself to a paragraph in the preamble with a description of the underlying notion that a company is a ‘long-term alliance between the various parties involved in the company’.

¹³¹ *Ibid*, n 130; and see the Dutch Corporate Governance Code 2008, the preamble, for the current approach.

¹³² *Ibid*. Adding that, the supervisory board should discuss the company’s strategy, the implementation of the strategy in the business model of the enterprise affiliated with the company and the principal risks associated with it at least once per year. The supervisory board should render account of this discussion in the report of the supervisory board.

¹³³ See Section 4.

¹³⁴ The Dutch Corporate Governance Code, Proposal for Revision, 2016, II.1, pp 8–9, n 130.

¹³⁵ As set out in the preface of the ICGN Global Governance Principles 2014: ‘The combination of responsibilities of boards and shareholders in a single set of Principles emphasises a mutual interest in protecting and generating sustainable corporate value. Sustainability implies that the company must manage effectively the governance, social and environmental aspects of its activities as well as financial operations. In doing so, companies should aspire to meet the cost of capital invested and generate a return over and above such capital. This is achievable if a focus on

The positive elements outlined above are by themselves unlikely to be sufficient to lessen shareholder primacy. What is needed is not just a general broadening to take account of other interests, and the occasional exception of a more substantial integration of corporate sustainability principles, but a comprehensive and active mitigation of the deeply entrenched shareholder primacy drive and its extremely detrimental narrow and short-term focus on maximising returns for shareholders. The role of the board must be strengthened and the goal for the board's governance of the company must be explicitly stated. The tentatively positive steps discussed briefly above may, however, be the first indications of a movement that will demand a systemic approach to corporate governance reform. As I will argue in the next section, in order to push back on this dominant social norm of shareholder primacy, along with the legal myths which have contributed to making it so entrenched, clear-cut legal reform is required.

4 The Necessary Reform of Corporate Governance

The destructive social norm of shareholder primacy is so deeply entrenched that hard-law reform arguably is crucial to mitigate this, combined with such measures as the removal of economic incentives that promote short-term and narrow focus on maximising returns for shareholders. I will here briefly summarise a tentative reform proposal, based on the work of the Sustainable Companies Project.¹³⁷ As will become apparent, this resonates to some extent with the most progressive elements of the corporate governance codes, incomplete as they may be.

This proposal calls for a redefinition of the purpose of the company and the role and duties of the board and operates on the premise that if we are to achieve a safe operating space for humanity, we cannot continue with incremental improvements; neither can we focus on whichever environmental or social challenges are given the most attention at any one time.

To integrate this premise into company law, the purpose of companies should be redefined. This could for example in an EU company law directive be given this wording:

The purpose of a company is to create sustainable value within the planetary boundaries while respecting the interests of its investors and other involved parties.

The fundamental key issues here are the purpose of creating 'sustainable value' and the space within which value can be created; that is, 'within the planetary boundaries'. The concept of 'within the planetary boundaries' clearly signals that these are non-negotiable boundaries where the room for trade-offs is limited.¹³⁸ At the same time, to develop this idea into a proper legislative proposal, the concept of sustainable value must be addressed, for instance in the directive's explanatory notes. The basic idea is that 'sustainable value' is long-term and inclusive and stands in opposition to the short-term pursuit of shareholder returns. Protection and promotion of the interest of the shareholders, other investors and other involved parties, including employees, creditors and other contractual parties, is encompassed through the formulation that sustainable value is to be sought 'while respecting the interest of its investors and other involved parties'.¹³⁹ Broader societal impact can also be included in the concepts of 'sustainable value' and 'other involved parties' depending on how this is defined in explanatory notes and implemented,

economic returns and strategic planning includes the effective management of company relationships with stakeholders such as employees, suppliers, customers, local communities and the environment as a whole'.

¹³⁶ The ICGN has also published a progressive statement on how human rights should be integrated into governance, which appears to have been similarly ignored. See <https://www.icgn.org/policy/viewpoints/human-rights>.

¹³⁷ This idea for a reform proposal was in its first version presented together with Jukka Mähönen on the Nordic level, and thereafter, informed by inspiring discussions in the Sustainable Companies team, as a potential EU law proposal, Sjäfjell and Mähönen (2014). In Sjäfjell and Wiesbrock, n 47, pp 97–117.

¹³⁸ This distinguishes the proposal from the much debated 'enlightened shareholder value' in the UK Companies Act, see for example Johnston (2014), above n 37, pp 63–66 and emphasises the non-negotiable ecological limits as opposed to what is done in the traditional pluralistic approach of Continental-European law. See also Lambooy (2010), n 37 above, pp 107–146.

¹³⁹ Using 'investors' rather than 'shareholders' recognises the complex structures of finance through, for instance, debt, equity or grants.

interpreted and put into practice. Yet the ultimate goal remains to achieve not only a safe operating space for humanity but a safe and *just* space for humanity.¹⁴⁰

To operationalise this redefined purpose it must be integrated into the duties of the board¹⁴¹ and companies should be required to draw up a long-term, life-cycle based sustainable business plan. As the European Commission has observed, boards have a ‘vital part to play in the development of responsible companies’¹⁴² and businesses should:

have in place a process to integrate social, environmental, ethical, human rights and consumer concerns into their business operations and core strategy in close collaboration with their stakeholders, with the aim of: maximising the creation of shared value for their owners/shareholders and for their other stakeholders and society at large; and identifying, preventing and mitigating their possible adverse impacts’.¹⁴³

The OECD Guidelines for Multinational Enterprises also support the formulation of such duties.¹⁴⁴

Accordingly, at the EU level, directors’ duties could be reformulated as follows:

The board of the company is to ensure the life-cycle based creation of sustainable value. To this end, the board shall adopt and regularly revise a long-term business plan for the company, based on a life-cycle assessment of the company’s main areas of business.

The operationalisation of the board’s duty to ensure the life-cycle based creation of sustainable value is the sustainable business plan, which should contain the long-term plan for the company.¹⁴⁵ The sustainable business plan should outline how the company will achieve life-cycle based value creation within the planetary boundaries. A requirement for such a sustainable business plan, designed thoughtfully, would involve a standardisation of a process that companies wishing to achieve long-term sustainable value would need to accomplish anyway. Standardisation would contribute to lowering costs and establishing a level playing field.

A mandatory table of contents of the sustainable business plan should be drawn up as an annex to the directive to encourage proper compliance and comparability between companies. The sustainable business plan should further include milestones or objectives to be achieved along the way and KPIs for impacts that are relevant, quantifiable and can be annually reported on by a company. In the context of an EU reform, guidelines, endorsed by the European Commission, should set out how the relevant and sufficient key performance indicators (KPIs) are to be selected according to the sector and concrete business plan of the company. The long-term plan should be broken down into shorter time segments,¹⁴⁶ requiring a company, at these regular intervals, to undertake a full assessment of its sustainable business plan and consider necessary revisions.

Effective enforcement of these duties is on the one hand necessary to ensure that the requirements become more than words on paper and that they are not used as a basis for greenwashing. On the other hand, enforcement must not go so far as to make the board unduly risk-averse or in other ways discourage innovation. A sensible starting point is to make the formation of the business plan itself into an enforceable duty. The qualitative control of the business plan should probably be limited to the selection of KPIs to ensure that these main indicators against which the company is to report are relevant and sufficient.¹⁴⁷

¹⁴⁰ See Raworth, <http://www.kateraworth.com/doughnut/>.

¹⁴¹ The duties of the board are arguably the best place in the regulatory ecology of the companies. On the significance of boards see for example Sjäfjell and Anker-Sørensen (2013), n 42 above. For a further discussion of the concept of regulatory ecology, see Sjäfjell and Taylor (2015).

¹⁴² COM (2011) 681 final, p 5.

¹⁴³ COM (2011) 681 final, p 6.

¹⁴⁴ OECD Guidelines for Multinational Enterprises (2011), pp 42–46.

¹⁴⁵ A tentative indication is that long-term here would be 15–30 years (or the full life span of the company if it has a shorter life expectancy).

¹⁴⁶ For example, these periods could be 15–30 years in length, but broken down into three or five year segments.

¹⁴⁷ With guidelines or standards endorsed by the European Commission to identify the relevant and sufficient indicators, such a check, which only needs to be undertaken when the business plan is drawn up or fundamentally

An intrinsic part of such a reform is to clearly define the role and duties of the general meeting to further mitigate the shareholder primacy drive.¹⁴⁸ Given the shortcomings discussed earlier, corporate governance codes must also be reformed as yet another part of the jigsaw puzzle of corporate sustainability.

Clearly, we are only just at the starting point of a debate on how to achieve corporate sustainability that is complex and necessary to have on a systemic level. One of the few things we know for certain is that ‘business as usual’ is not an option. It will undoubtedly take a global village of academics, businesses, investors, civil society and public policy-makers if we are to achieve the necessary shift to sustainability.¹⁴⁹

References

- Anker-Sørensen L (2016) Financial engineering as an alternative veil for the corporate group. *European Company Law* 13(5) 2016, 1–9. Available at <http://ssrn.com/abstract=2729112>. Accessed May 2016
- ASX Corporate Governance Council, Australian Corporate Governance Principles and Recommendations, 3rd edn. Available at <http://www.asx.com.au/documents/asx-compliance/cgc-principles-and-recommendations-3rd-edn.pdf>. Accessed May 2016
- Brazilian Code of Best Practice of Corporate Governance, 4th edition, September 2009. Available at http://www.ecgi.org/codes/code.php?code_id=292. Accessed May 2016
- Belcredi M, Ferrarini G (eds) (2013) *European corporate governance codes and their effectiveness. Boards and Shareholders in European Listed Companies*. Cambridge, Cambridge University Press, pp 67–142
- Cison JE, Ferris SP, Kammel AJ et al (2012) European Corporate Governance: A thematic analysis of national codes of governance. *European Financial Management* 18, pp 620–648
- China Securities Regulatory Commission, Code of Corporate Governance for Listed Companies in China Available at http://www.ecgi.org/codes/documents/code_en.pdf. Accessed May 2016
- Commission of the European Communities, ‘Modernising company law and enhancing corporate governance in the European Union: A Plan to move forward’. COM (2003)284 Final, http://www.europarl.europa.eu/RegData/docs_autres_institutions/commission_europeenne/com/2003/0284/COM_COM%282003%290284_EN.pdf. Accessed May 2016
- Chen E, Nowland J (2011) The effectiveness of corporate governance codes: Long-term analysis from East Asia, *J Intl Commerce, Economics & Policy* 2(2), pp 229–250
- Davies PL (2001) Board Structure in the UK and Germany: Convergence or Continuing Divergence? *Intl & Comparative Corp L J*, 2, p 451
- Daily Mail, Case 81/87 [1988] ECR 5483
- da Silveira ADM (2015) Is shareholder primacy a reality in Brazil? An analysis of the duties of corporate managers from multiple perspectives. Working paper. Available at <http://ssrn.com/abstract=2628471> or <http://dx.doi.org/10.2139/ssrn.2628471>. Accessed May 2016
- Dine J and Koutsias M (2013), *The nature of corporate governance: The significance of national cultural identity*, Edward Elgar
- Dortmond P (2004) Report from the Netherlands. *European Company Law* 1(1), p 25
- du Plessis J, et al. (2015), *Principles of contemporary corporate governance*, CUP, 3rd edn, ch 5
- du Plessis J, et al (2015), *Principles of Contemporary Corporate Governance*. Cambridge University Press, 3rd edn
- du Plessis J (2016), Disclosure of non-financial information: a powerful corporate governance tool, *24 C & S L J*, p 69
- du Plessis J (2016) Shareholder primacy and other stakeholder interests *34 C & S L J*, p 238
- Dutch Corporate Governance Code, Proposal for Revision, 2016, II.1. Available at <http://www.commissiecorporategovernance.nl/download/?id=2835>. Accessed May 2016
- Edenhofer O, Pichs-Madruga R, Sokona Y, Farahani E, Kadner S (2014) Final Draft Summary for Policymakers Available at https://www.ipcc.ch/pdf/assessment-report/ar5/wg3/ipcc_wg3_ar5_full.pdf. Accessed May 2016

revised, should not be too burdensome to require. An issue to be developed further is how this could be undertaken; most likely it can be covered by auditors with experience with sustainability assurance; see more in detail Sjøfjell B (2015) Corporate governance for sustainability: the necessary reform of EU Company Law. Sjøfjell and Wiesbrock, pp 97–117.

¹⁴⁸ This is briefly discussed in Sjøfjell B (forthcoming).

¹⁴⁹ The international research project Sustainable Market Actors for Responsible Trade (SMART, 2016–2020) aims to contribute to such a systemic analysis, with the invaluable support of its growing global network, see <http://uio.no/smart>. Interested scholars are invited to become members of the Sustainable Market Actors Network, see http://jus.uio.no/companies_under_networks.

- [The] Economist (2006), Economics of climate change: Stern warning, 2 Nov 2006, p 14
- Ernst & Young Cleantech and Sustainability Services (France) (2014) on behalf of the European Commission Resource efficiency and fiduciary duties of investors, Final Report, ENV.F.1/ETU/2014/0002, DG Environment
- Engen N (2016) Executive Committees and the revision of the Dutch Corporate Governance Code. Leiden Law Blog. Available at <http://leidenlawblog.nl/articles/executive-committees-and-the-revision-of-the-dutch-corporate-governance-cod> Accessed July 2016
- European Commission, 'Growth: Internal market, industry entrepreneurship and SMEs' http://ec.europa.eu/growth/index_en. Accessed July 2016
- European Corporate Governance Institute, An overview of corporate governance codes from all over the world Index at http://ecgi.org/codes/all_codes.php. Accessed June 2016
- European Environment Agency, Green Paper Promoting a European framework for Corporate Social Responsibility COM (2001) 366 final (paras 20-21). Available at <http://www.eea.europa.eu/policy-documents/com-2001-366-final-green>. Accessed May 2016
- European Commission 'A renewed EU strategy for corporate social responsibility' COM (2011) 681 final, s. 3.1, 5, 6. Available at http://www.europarl.europa.eu/meetdocs/2009_2014/documents/com/com_com%282011%290681_/com_com%282011%290681_en.pdf Accessed July 2016
- European Parliament and Council Directive 2006/46/EC of the European Parliament and of the Council (14 June 2006) amending Council Directives 78/660/EEC on the annual accounts of certain types of companies, 83/349/EEC on consolidated accounts, 86/635/EEC on the annual accounts and consolidated accounts of banks and other financial institutions and 91/674/EEC on the annual accounts and consolidated accounts of insurance undertakings.
- Field CB et al (eds) (2014) Summary for Policy Makers. In: Climate Change 2014: Impacts, Adaption and Vulnerability. Part A: Global and Sectoral Aspects. Contribution of Working Group II to the Fifth Assessment
- French AFEP-MEDEF (revised June 2013), Corporate governance code of listed corporations
- German Corporate Governance Code (revised 2015), Principle 4.1.1. amended 18 June 2009. Principle 3.7
- G20/OECD Principles of Corporate Governance (5 September 2015), Principle IV and Introduction
- Griggs D et al (2013) Policy: Sustainable development goals for people and planet. Nature 495, pp 305–307. Available at <http://www.nature.com/nature/journal/v495/n7441/full/495305a.html>. Accessed June 2016
- Gerner-Beuerle C (2014) Determinants of corporate governance codes. Available at ssrn.com/abstract=2346673 or dx.doi.org/10.2139/ssrn.2346673. Accessed July 2016
- Hadjikyprianou GC (2015) The principle of 'comply or explain' underpinning the UK Corporate Governance Regulation: Is there a need for a change? Corporate Law: Corporate Governance Law J 7(18). Available at <http://ssrn.com/abstract=2690687> or <http://dx.doi.org/10.2139/ssrn.2690687>. Accessed June 2016
- Hamilton RW (2000) Corporate governance in America 1950–2000: Major changes but uncertain benefits RW Hamilton, J Corp. L
- Haxhi I, Aguilera RV (2012) Are codes fostering convergence in corporate governance? an institutional perspective. In Rasheed A, Yoshikawa T (eds) Convergence of corporate governance: promise and prospects, Palgrave, UK, pp 238–239.
- Heuschmid J (2012) The protection of workers under EU company law: The current position and future prospects. In: Vitols S, Heuschmid J (eds) European company law and the sustainable company: A stakeholder approach. European Trade Union Federations
- Hopt KJ (2011) Comparative corporate governance: the state of the art and international regulation. Amer J Comp L 59(1)
- Islam, S (July 2013) Climate change threatens Bangladesh's MDG achievements – experts, Thomson Reuters Foundation News. Available at <http://news.trust.org/item/20130722163326-vjgux/>. Accessed July 2016
- ICGN Global Governance Principles 2014: Available at <https://www.icgn.org/policy/viewpoints/human-rights>. Accessed 31 July 2016.
- IPCC, Report of the Intergovernmental Panel on Climate Change. Cambridge University Press, Cambridge, United Kingdom and New York, p 11
- Integrated Reporting, see <http://integratedreporting.org/>. Accessed 27 Jun 2016.
- International Consortium of Investigative Consortium Panama Papers, at panamapapers.icij.org/. Accessed 24 July 2016.
- Ireland P (1999) Company Law and the Myth of Shareholder Ownership, Modern Law Review 62
- Institute of Directors, South Africa, Getting to King IV: What to expect, iodsa.co.za/?page=KingIV Accessed July 2016.
- Institute of Directors Southern Africa (IODSA), <http://www.iodsa.co.za/?kingIII> King Code of Governance for South Africa 2009 (King III)
- Johnston A (2014) Reforming English company law to promote sustainable companies. European Company Law 11(2), p 63
- Kershaw D (2015) Corporate law and self-regulation. LSE Legal Studies Working Paper No. 5/2015. Available at <http://ssrn.com/abstract=2574201> or <http://dx.doi.org/10.2139/ssrn.2574201>. Accessed July 2016
- Lazonick W (2010) Innovative business models and varieties of capitalism: Financialization of the US Corporation. Business History Rev 84, pp 675–702

- Lambooy T (2010) Corporate social responsibility: Legal and semi-legal frameworks supporting CSR: developments 2000–2010 and Case Studies. Kluwer, Deventer, pp 107–46
- Mayer C (2013) Firm commitment: Why the corporation is failing us and how to restore trust in it. OUP, London
- Maurović L, Grgorić S (2009) The place of codes of corporate governance in the EU Company Law. Proceedings of 7th International Conference ‘Economic Integration, Competition and Cooperation’, 2–3 April, 2009, Opatija, University of Rijeka. Available at <http://ssrn.com/abstract=2236894> or <http://dx.doi.org/10.2139/ssrn.2236894>. Accessed July 2016
- Morrow P, Johnston A (2015) Commentary on the OECD Principles of Corporate Governance. University of Oslo Faculty of Law Research Paper No. 2015-09, p 2. Available at <http://ssrn.com/abstract=2549570>. Accessed July 2016
- Norwegian Code of Practice for Corporate Governance, 30 October 2014. Available at <http://www.nues.no/filestore/Dokumenter/Anbefalingene/2014/2014-10-30Code2014ENGweb.pdf>. Accessed July 2016
- OECD Guidelines for Multinational Enterprises (2011). Available at <http://www.oecd.org/corporate/mne/48004323.pdf>. Accessed June 2016, pp 42–46
- OECD Principles of Corporate Governance, oecd-ilibrary.org/governance/g20-oecd-principles-of-corporate-governance-2015_9789264236882-en. Accessed July 2016
- Parry ML et al (eds) (2007) Summary for policy makers. In: Climate Change 2007: Impacts, adaption and vulnerability. Contribution of working group II to the fourth assessment report of the intergovernmental panel on climate change, CUP, Cambridge, pp 7–22
- Raworth K (2012) A safe and just space for humanity: can we live within the doughnut. Oxfam International. Available at <https://www.oxfam.org/sites/www.oxfam.org/files/dp-a-safe-and-just-space-for-humanity-130212-en.pdf>. Accessed July 2016
- Rockström J et al (2009) Planetary boundaries: exploring the safe operating space for humanity. Ecology and Society 14(1) Art 2. Available at www.ecologyandsociety.org/vol14/iss2/art32/. Accessed June 2016
- Rajan RG, Zingales L (2003) Saving capitalism from the capitalists. unleashing the power of financial markets to create wealth and spread opportunity. Crown Business, New York
- Richardson BJ (2015) Financial markets and socially responsible investing. In: Sjøfjell B, Richardson BJ (eds) Company law and sustainability. CUP, Cambridge, pp 226–273
- RiskMetrics Group (2009) Study on monitoring and enforcement practices in corporate governance in the member states. Available at ecoda.org/news-details/article/report-study-on-monitoring-and-enforcement-practices-in-cg-in-the-member-states/. Accessed July 2016
- Sarra JP (2001) Convergence versus divergence, global corporate governance at the crossroads: governance norms, capital markets & OECD principles for corporate governance. Ottawa L Rev 33(1). Available at <http://ssrn.com/abstract=2724810>. Accessed July 2016
- Schaafsma JR (1992) Hostile takeover bids and defenses: The Netherlands. In: Hopt KJ, Wymeersch E (eds) European takeovers: law and practice. Butterworths, London, pp 226–227
- Sjøfjell B (2011) The core of corporate governance: implications of the takeover directive for corporate governance in europe. Euro Bus L R 22(5). Available at ssrn.com/abstract=1598298. Accessed July 2016
- Sjøfjell B, Anker-Sørensen L (2013) Directors’ duties and corporate social responsibility (CSR). In: Birkmose HS, Neville M, Engsig K (eds) Boards of Directors in European Companies. Alphen aan den Rijn, Kluwer Law International
- Sjøfjell B (2013) Sustainable companies: possibilities and barriers in Norwegian company law. International and Comparative Corp L J 11(1), pp 1–58. Available at ssrn.com/abstract=2311433 or dx.doi.org/10.2139/ssrn.2311433, s. 2.3. Accessed May 2016
- Sjøfjell B, Mähönen J (2014) Upgrading the Nordic corporate governance model for sustainable companies. European Company Law 11(2). Available at <http://ssrn.com/abstract=2471495>. Accessed June 2016
- Sjøfjell B et al (2015) Shareholder primacy: The main barrier to sustainable companies. In: Sjøfjell B, Richardson BJ (eds) Company law and sustainability. CUP, Cambridge, pp 79–147
- Sjøfjell B (2015) Corporate governance for sustainability: the necessary reform of EU Company Law. In: Sjøfjell B, Wiesbrock A (eds), n 47 above, pp 97–117
- Sjøfjell B, Taylor MB (2015) Planetary boundaries and company law: towards a regulatory ecology of corporate sustainability. University of Oslo Faculty of Law Research Paper No. 2015-11. Available at <http://ssrn.com/abstract=2610583>. Accessed May 2015
- Sjøfjell B (forthcoming) Achieving corporate sustainability: What is the role of the shareholder? In: Birkmose HS (ed) Shareholders’ duties in Europe. Kluwer International
- Steffen W et al (2012) Planetary Boundaries: Guiding human development on a changing planet. Science. Available at www.sciencemag.org/content/347/6223/1259855.abstract. Accessed June 2016
- Thomsen S (2006) The hidden meaning of codes: corporate governance and investor rent seeking. European Bus Org L Rev 7(4) 846, pp 845–861; pp 849–51
- Talbot L (2015) Critical Company Law, 2nd edn, Routledge, London
- Überseering, Case C-208/00 [2002] ECR I-9919 para. 81
- UK Corporate Governance Code (September 2014), p 1
- Ulwazi, Sharing Indigenous Knowledge. Available at ulwazi.org/index.php/Ubuntu. Accessed July 2016
- UN Guiding Principles, see <https://business-humanrights.org/en/un-guiding-principles-on-business-and-human-rights-1>. Accessed 27 Jun 2016

- Villiers C (2013) Sustainable companies: barriers and possibilities in UK company law. *International and Comparative Corporate Law J* 11(1), pp 105–173. Available at <http://ssrn.com/abstract=2280350>. Accessed June 2016
- Villiers C, Mähönen J (2015) Accounting, auditing and reporting: supporting or obstructing the sustainable companies objective?. In: Sjäfjell B, Richardson BJ (eds) *Company law and sustainability*. Cambridge University Press, Cambridge, pp 175–225
- Villiers C, Mähönen J (2015) Article 11: Integrated reporting or non-financial reporting? In: Sjäfjell B, Wiesbrock A (eds) *The greening of European Business under EU Law*. Routledge, Oxon, pp 274–311
- Watson A (1984) The evolution of law: The Roman system of contracts. *Law and History Rev*, pp 1–20
- Weil, Gotshal & Manges LLP (January 2002) *Comparative Study of Corporate Governance Codes Relevant to the European Union and its Member States on behalf of the European Commission*. Available at http://ec.europa.eu/internal_market/company/docs/corpgov/corp-gov-codes-rpt-part1_en.pdf. Accessed July 2016
- Zattoni A, Cuomo F (2008) Why adopt codes of good governance? A comparison of institutional and efficiency perspectives. *Corporate Governance: An International Review* 16:1